

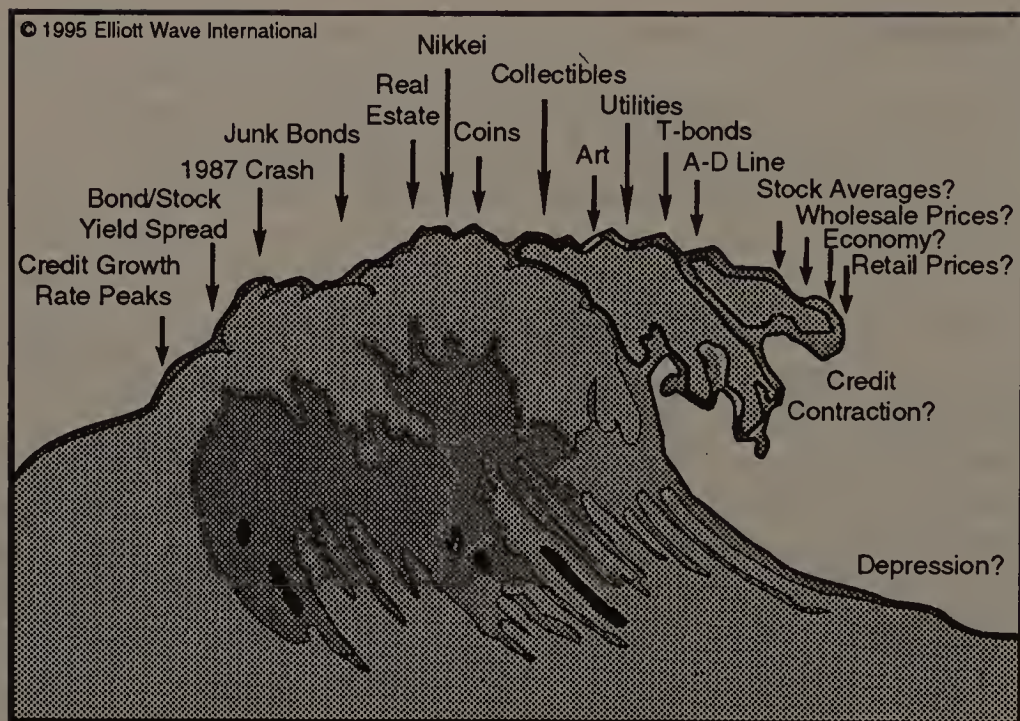


Figure 21-1

frenzied shuffling of money from one asset to another, a phenomenon similar to the increasingly nervous animal activity that takes place in the hours before an earthquake.

Completed wave patterns, slowing long term upside momentum, euphoric investor psychology, the expanding economy, and the state of political calm all support the case that a major top in mood, on a scale equivalent to those of 1720, 1835-1836, 1929 and 1966-1968, is forming. The next several years should be the resolution phase, beginning with net debt retirement and ending with depression. With the body of the tidal wave will fall all investment markets around the world. Markets that began declining early will continue their descent to depths currently inconceivable to conventional observers. The giant wash will take with it wholesale prices, consumer prices, employment, profits and tax receipts, as well as the fortunes of banks, manufacturers, insurance companies, and pension funds. Ultimately, the process will devastate the debt balloon, the welfare state, the solvency of municipal and federal governments, and the political status quo.

If you attended financial conferences and read financial books and newsletters in the late 1970s and early 1980s, you will vividly remember hearing this kind of talk from virtually every source. At